

HLA Group Corp Ltd - A

Core HLA solid; new business sustains momentum;
maintain OW

We expect HLA's earnings to grow +3% in 2H26 yoy vs. -6% in 1H (mainly dragged by the group-purchase business: sales -44%/GPM -5.8ppt in 1H), driven by the core business remaining robust (sales +7%/+8% in 2Q/1Q) and new business maintaining momentum (sales +26%/+33% in 2Q/1Q). We cut our 2026-28 earnings estimates by 8-16% to factor in the lukewarm retail environment and headwinds on the group purchase business, despite the resilience in its core business and new business. We now estimate 2H26 sales/earnings +5%/+3% yoy, and 2027E sales/earnings +6%/+5% (vs. consensus at +8%/+9%). Our Dec-26 PT of Rmb7.0 (previously Rmb7.9) is based on a target multiple of 15x 27E P/E (vs. its historical average of 15x and current sector average of 11x). We remain OW on HLA for its: 1) distinctive asset-light business model (suppliers bear most of the inventory risk); 2) product, supply chain and channel optimization; and 3) solid development of new business – Sibozhi as the increasingly validated growing business with improving profit, Urban outlets set to re-accelerate store expansion together with smaller format stores – and overseas expansion. Maintain OW.

- **Key highlights from 2Q results and briefing:** 1) The core HLA brand continued its recovery, with 2Q sales +13% and Jul-Aug offline growth remaining solid; 2) Sibozhi business' 2Q sales +c.40% and 3Q-to-date keeping the momentum; 3) Urban Outlets to accelerate in 2H, with c.20 new stores planned (mainly post-Sep) and a new store format of "Jinghai Tiandi" rolling out; 4) overseas business strength continued with 1H sales +47% and 20 net new stores, and the target of 100 store openings as of 2026 and 400 in three years maintained; 5) inventory declined Rmb2bn (vs. Rmb11bn as of end-2025) on obsolete inventory clearance and prudent procurement; and 6) interim dividend payout ratio maintained at a high level of 87%.
- **New business to maintain momentum in 2H.** 1) The Sibozhi business is on track to meet its full-year target of Rmb2bn sales, with 723 stores as of 1H26 (largely flat vs. end 2025) and 200-300 net-opening target for 2026 maintained (unchanged; mainly in 2H); management expects profit contribution in 2026. 2) Urban Outlets sales targets to accelerate in 2H, with c.20 new stores in the pipeline (mainly post-Sep), a new store format of "Jinghai Tiandi" (smaller selling area; no licensing fee to JD.com; first store in Wuxi) rolling out. Urban Outlets targets breakeven in 2026. 3) Overseas business strength continued with 1H sales +47% and 20 net new stores (new market entries in 1H26 included South Africa and Kazakhstan) with the store expansion target maintained (100 new openings in 2026 and 400-stores in three years).
- **JPM 2H sales/earnings to grow +5%/+3% yoy.** We expect top-line growth to be supported by a recovery in offline channels (+5%), online channels remaining solid (+3%), and a ramp-up of the Sibozhi business and the Urban Outlets business. We expect 2H26 NPM of 5.7%, -0.1ppt yoy, given a 0.5ppt GPM contraction (due to sales mix), largely flat opex-to-sales ratio and normalized asset impairment.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Overweight

600398.SS, 600398.CH

Price (08 Sep 26): Rmb5.90

▼ **Price Target (Dec-26): Rmb7.00**
Prior (Dec-26): Rmb7.90

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J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

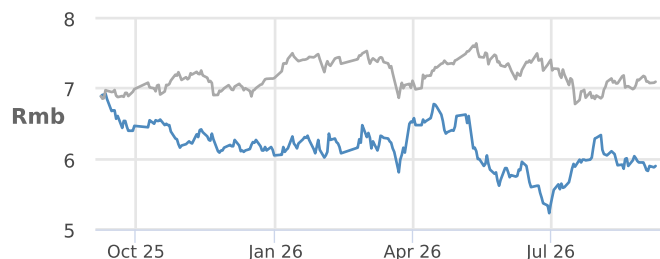
	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	0.47	0.44	-8.2%
Adj. EPS - 27E (Rmb)	0.53	0.46	-13.2%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	60	49	54	46	32
Growth	14	73	49	24	61
Momentum	46	88	85	4	48
Quality	3	47	28	9	43
Low Vol	27	47	53	20	17

See page 6 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



— 600398.SS Price (Rmb) SSEA (rebased)

	YTD	1m	3m	12m
Abs	-2.5%	-2.5%	2.6%	-14.4%
Rel	-1.8%	-2.5%	3.1%	-17.4%

Company Data

Shares O/S (mn)	4,803
52-week range (Rmb)	7.08-5.09
Market cap (\$ mn)	4,223
Exchange rate	6.71
Free float (%)	60.6%
3M ADV (mn)	30.16
3M ADV (\$ mn)	26.4
Volatility (90 Day)	24
Index	SHASHR
BBG ANR (Buy Hold Sell)	18 0 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	21,626	22,967	24,343	25,860
Adj. EBITDA	4,582	3,170	3,388	3,626
Adj. EBIT	3,170	2,913	3,117	3,341
Adj. net income	2,122	2,093	2,195	2,326
Adj. EPS	0.44	0.44	0.46	0.48
BBG EPS	0.47	0.45	0.50	0.54
Cashflow from operations	4,482	1,262	946	1,646
FCFF	4,053	824	499	1,189
Margins and Growth				
Revenue Growth Y/Y (%)	3.2%	6.2%	6.0%	6.2%
Gross margin	44.3%	43.9%	43.9%	43.8%
EBITDA margin	21.2%	13.8%	13.9%	14.0%
EBIT margin	14.7%	12.7%	12.8%	12.9%
Adj. EPS growth	2.7%	(1.2%)	4.9%	5.9%
Ratios				
Adj. tax rate	24.0%	24.0%	24.0%	24.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	13.6%	11.9%	12.3%	12.7%
ROE	12.0%	11.2%	11.4%	11.7%
Valuation				
FCFF yield	14.3%	2.9%	1.8%	4.2%
Dividend yield	6.9%	5.2%	5.4%	5.7%
EV/Revenue	1.0	1.0	1.0	1.0
EV/EBITDA	4.7	7.1	7.0	6.8
Adj. P/E	13.4	13.5	12.9	12.2

Summary Investment Thesis and Valuation

We are OW on HLA Corp, a leading apparel company in China that owns the 'HLA Corp' brand, the largest menswear brand in China, with a 4.6% market share in 2025, per Euromonitor. We like HLA Corp for its: 1) distinctive asset-light business model (suppliers bear most of the inventory risk); and 2) its partnership with Tencent (5.3% stake; Rmb10bn investment in apparel supply chain; potential traffic referral from JD and VIPshop and big data sharing).

Our DCF-based Dec-26 PT of Rmb7 is based on a target multiple of 15x 27E P/E, vs. its historical average of 15x and current sector average of 11x.

Performance Drivers

Market	0%
Region	14%
Macro	20%
Style	16%
Idiosyn.	50%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.08	0.05
Region: China	0.52	0.37
Macro:		
JPM EM Currency(EMCI) Fixing	0.51	0.42
JP Morgan GBI-EM Global Div	0.42	0.37
Markit EM Composite PMI SA	-0.37	-0.32
Quant Styles:		
Size	-0.53	-0.47
Growth	-0.46	-0.42
Momentum	-0.45	-0.40

Valuation

We have lowered our Dec-26 PT to Rmb7.0 from Rmb7.9 previously, mainly reflecting 8-16% earnings estimates cuts for 2026-2028E. We switch from DCF to PE based valuation, which we believe is more appropriate for HLA given its relatively mature business profile and provides a more transparent benchmark against its historical trading range and apparel peers, while continuing to use DCF as a cross check. Our new PT is based on 15x forward PE, broadly in line with the multiple implied by our previous DCF-based valuation.

Table 1: DCF valuation

Rmb in millions	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E
Sales	22,967	24,343	25,860	27,606	29,619	31,945	34,643	37,784	41,459
EBIT	2,913	3,116	3,341	3,591	3,870	4,184	4,538	4,939	5,398
Tax rate %	24%	24%	24%	24%	24%	24%	24%	24%	24%
NOPAT	2,213	2,368	2,538	2,728	2,940	3,178	3,447	3,752	4,101
D&A	257	271	285	299	326	338	354	370	387
W.C. change	208	-1,271	-739	-726	-810	-1,050	-1,550	-1,715	-1,646
Capex	-439	-447	-456	-465	-475	-484	-494	-504	-514
as % of sales	-1.9%	-1.8%	-1.8%	-1.7%	-1.6%	-1.5%	-1.4%	-1.3%	-1.2%
FCFF	2,239	920	1,628	1,836	1,982	1,982	1,757	1,904	2,329
NPV of FCFF	11,850								
PV of terminal value	16,066								
Net debt	-5,909								
Minority	207								
Equity value	33,618								
Value per share (Rmb)	7.0								

Source: J.P. Morgan estimates.

Table 2: HLA's key financials

(RMB mn)	2Q2026	2Q2025	2Q26/25	1H26	1H25	1H26/25
Turnover	5,759	5,379	7%	12,420	11,566	7%
Total COGS	(3,094)	(2,927)	6%	(6,773)	(6,273)	8%
Gross profit	2,665	2,452	9%	5,647	5,293	7%
Selling and marketing exp	(1,627)	(1,219)	33%	(3,030)	(2,472)	23%
Administrative exp	(255)	(196)	30%	(523)	(492)	6%
R&D	(66)	(59)	11%	(112)	(106)	6%
EBIT	717	978	-27%	1,981	2,223	-11%
Finance costs	16	22	-25%	43	48	-10%
Investment income	58	1	na	58	0	na
Other income	(77)	(136)	-42%	(207)	(240)	-14%
EBT	714	865	-17%	1,875	2,031	-8%
Income tax	(159)	(214)	-26%	(400)	(443)	-10%
Net profit	556	651	-15%	1,475	1,588	-7%
Minority	(17)	(6)	181%	12	(7)	-274%
Net income attributable to share holders	539	645	-17%	1,488	1,580	-6%
GPM	46.3%	45.6%	0.7ppt	45.5%	45.8%	-0.3ppt
OPM	12.4%	18.2%	-5.7ppt	16.0%	19.2%	-3.3ppt
NPM	9.4%	12.0%	-2.6ppt	12.0%	13.7%	-1.7ppt
Selling and marketing exp as of sales	28.2%	22.7%	5.6ppt	24.4%	21.4%	3.0ppt
Administrative exp as of sales	4.4%	3.6%	0.8ppt	4.2%	4.3%	0.0ppt
R&D exp as of sales	1.1%	1.1%	0.0ppt	0.9%	0.9%	0.0ppt
OPEX as of sales	33.8%	27.4%	6.4ppt	29.5%	26.5%	3.0ppt
Tax rate	22.2%	24.7%	-2.5ppt	21.3%	21.8%	-0.5ppt

Source: HLA, Financial Reports, 1H25-1H26.

Investment Thesis, Valuation and Risks

HLA Group Corp Ltd - A (*Overweight; Price Target: Rmb7.00*)

Investment Thesis

We are OW HLA Corp, a leading apparel company in China that owns the ‘HLA Corp’ brand, the largest menswear brand in China, with a 4.6% market share in 2025, per Euromonitor. We like HLA Corp for its: 1) distinctive asset-light business model (suppliers bear most of the inventory risk); and 2) its partnership with Tencent (5.3% stake; Rmb10bn investment in apparel supply chain; potential traffic referral from JD and VIPshop and big data sharing)

Valuation

Our DCF-based Dec-26 PT of Rmb7 is based on a target multiple of 15x 27E P/E, vs. its historical average of 15x and current sector average of 11x.

Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) unfavourable weather affecting apparel sales; 2) higher-than-expected inventory risk; 3) lower-than-expected sell-through rates; and 4) competition.

HLA Group Corp Ltd - A: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	20,957	21,626	22,967	24,343	25,860	Cash flow from operating activities	2,317	4,482	1,262	946	1,646
COGS	(11,744)	(12,054)	(12,889)	(13,668)	(14,528)	o/w Depreciation & amortization	1,305	1,412	257	271	285
Gross profit	9,213	9,571	10,078	10,675	11,331	o/w Changes in working capital	(1,123)	879	208	(1,271)	(739)
SG&A	(6,165)	(6,402)	(7,166)	(7,558)	(7,990)	Cash flow from investing activities	(2,496)	(2,577)	(886)	(906)	(962)
Adj. EBITDA	4,352	4,582	3,170	3,388	3,626	o/w Capital expenditure	(488)	(430)	(439)	(447)	(456)
D&A	(1,305)	(1,412)	(257)	(271)	(285)	as % of sales	2.3%	2.0%	1.9%	1.8%	1.8%
Adj. EBIT	3,048	3,170	2,913	3,117	3,341	Cash flow from financing activities	(4,847)	(1,817)	(1,276)	(1,395)	(1,516)
Net Interest	175	159	189	141	112	o/w Dividends paid	(3,794)	(864)	(1,276)	(1,395)	(1,516)
Adj. PBT	2,787	2,807	2,712	2,844	3,013	o/w Shares issued/(repurchased)	4	0	0	0	0
Tax	(598)	(674)	(652)	(683)	(724)	o/w Net debt issued/(repaid)	0	0	0	0	0
Minority Interest	(30)	34	33	34	36	Net change in cash	(5,023)	85	(899)	(1,355)	(832)
Adj. Net Income	2,015	2,122	2,093	2,195	2,326	Adj. Free cash flow to firm	1,829	4,053	824	499	1,189
Reported EPS (Basic)	0.45	0.45	0.44	0.46	0.48	y/y Growth	(60.2%)	121.5%	(79.7%)	(39.5%)	138.5%
Adj. EPS	0.43	0.44	0.44	0.46	0.48						
DPS	0.41	0.41	0.30	0.32	0.34						
Payout ratio	89.1%	91.1%	70.0%	70.0%	70.0%						
Shares outstanding	4,693	4,813	4,803	4,803	4,803						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	6,772	6,789	5,890	4,535	3,703	Gross margin	44.0%	44.3%	43.9%	43.9%	43.8%
Accounts receivable	1,249	1,440	1,007	1,200	1,275	EBITDA margin	20.8%	21.2%	13.8%	13.9%	14.0%
Inventories	11,987	10,819	9,887	10,859	11,862	EBIT margin	14.5%	14.7%	12.7%	12.8%	12.9%
Other current assets	2,445	1,538	1,626	2,303	2,791	Net profit margin	9.6%	9.8%	9.1%	9.0%	9.0%
Current assets	22,453	20,586	18,410	18,898	19,631	ROE	12.2%	12.0%	11.2%	11.4%	11.7%
PP&E	2,895	2,697	2,843	2,983	3,115	ROA	6.0%	6.3%	6.3%	6.6%	6.7%
LT investments	1,926	1,986	2,055	2,128	2,206	ROCE	14.5%	13.6%	11.9%	12.3%	12.7%
Other non current assets	6,157	8,782	9,264	9,759	10,304	SG&A/Sales	29.4%	29.6%	31.2%	31.0%	30.9%
Total assets	33,431	34,051	32,572	33,768	35,255	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	0	0	0	0	0	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	11,259	10,963	9,534	9,923	10,548	Sales/Assets (x)	0.6	0.6	0.7	0.7	0.7
Other short term liabilities	3,997	3,666	3,021	3,204	3,406	Assets/Equity (x)	2.0	1.9	1.8	1.7	1.7
Current liabilities	15,256	14,629	12,556	13,127	13,954	Interest cover (x)	NM	NM	NM	NM	NM
Long-term debt	0	0	0	0	0	Operating leverage	829.4%	125.5%	(130.7%)	116.9%	115.5%
Other long term liabilities	888	859	859	859	859	Tax rate	21.5%	24.0%	24.0%	24.0%	24.0%
Total liabilities	16,144	15,488	13,415	13,986	14,813	Revenue y/y Growth	(2.7%)	3.2%	6.2%	6.0%	6.2%
Shareholders' equity	17,011	18,322	18,950	19,609	20,306	EBITDA y/y Growth	(15.3%)	5.3%	(30.8%)	6.9%	7.0%
Minority interests	276	240	207	173	136	EPS y/y Growth	(26.9%)	2.7%	(1.2%)	4.9%	5.9%
Total liabilities & equity	33,431	34,051	32,572	33,768	35,255						
BVPS	3.63	3.81	3.95	4.08	4.23						
y/y Growth	4.2%	5.0%	3.7%	3.5%	3.6%						
Net debt/(cash)	(6,794)	(6,808)	(5,909)	(4,554)	(3,722)						
Valuation							FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	13.7	13.4	13.5	12.9	12.2
						P/BV (x)	1.6	1.5	1.5	1.4	1.4
						EV/EBITDA (x)	5.0	4.7	7.1	7.0	6.8
						Dividend Yield	6.9%	6.9%	5.2%	5.4%	5.7%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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HLA Group Corp Ltd - A (600398.SS, 600398 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
02-Nov-23	OW	7.38	9.1
05-May-24	OW	9.11	10.9
26-Aug-24	OW	5.94	8.8
28-May-25	OW	7.33	8.4
07-Sep-25	OW	6.90	9
02-Apr-26	OW	6.52	8.1
06-May-26	OW	6.61	7.9

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 22, 2018. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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Coverage Universe: Yao, Qian : Anta Sports (2020) (2020.HK), Best Pacific (2111) (2111.HK), Bosideng (3998.HK), Botanee (300957.SZ), CTG Duty-Free – A (601888.SS), Chicmax (2145.HK), Chow Tai Fook Jewellery (1929) (1929.HK), HLA Group Corp Ltd - A (600398.SS), Lao Feng Xiang - A (600612.SS), Laopu Gold - H (6181.HK), Li Ning (2331) (2331.HK), Luolai Lifestyle - A (002293.SZ), Luthai Textile - A (000726.SZ), Mao Geping - H (1318.HK), Marubi (603983.SS), Peacebird Fashion - A (603877.SS), Proya (603605.SS), Semir Garment - A (002563.SZ), Shanghai Jahwa (600315.SS), Shenzhou International (2313) (2313.HK), Xtep International (1368.HK)

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	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	36%	12%
IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

*Please note that the percentages may not add to 100% because of rounding.

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